**NATIONAL COMPANY LAW TRIBUNAL**
**CHANDIGARH BENCH (COURT-II), CHANDIGARH**

**CP (CAA) No. 42/Chd/Hry/2023**
**(2nd Motion)**

**Under Section 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016**

**IN THE MATTER OF SCHEME OF AMALGAMATION OF**:

**1. Chamundeswari Builders Private Limited**
with its registered office at
Mezzanine Floor, DLF Gateway Tower, R Block,
DLF City, Phase-III, Gurugram-122002 (Haryana)
PAN: AADCC1948B
CIN: U70102HR2007PTC094691

…..Petitioner No.1/Transferor Company No.1

AND

**2. DLF Garden City Indore Private Limited**
with its registered office at
1st Floor, DLF Gateway Tower, R Block,
DLF City, Phase-III, Gurugram-122002, Haryana
PAN: AAFCA5034N
CIN: U70101HR2005PTC104355

….. Petitioner No.2/Transferor Company No.2

AND

**3. DLF IT Offices Chennai Private Limited**
with its registered office at
10th Floor, Gateway Tower,
DLF City, Phase-III, Gurugram-122002, Haryana
PAN: AADCD9889J
CIN: U70100HR2011PTC044012

….. Petitioner No.3/Transferor Company No.3

AND

**4. DLF Residential Developers Limited**
with its registered office at
2nd Floor, DLF Gateway Tower, R Block,
DLF City, Phase-III, Gurugram-122002, Haryana
PAN: AACCD9577G
CIN: U45200HR2008PLC075587

….. Petitioner No.4/Transferor Company No.4

AND

**5. Latona Builders & Constructions Private Limited**
with its registered office at
Mezzanine Floor, DLF Gateway Tower, R Block,
DLF City, Phase-III, Gurugram-122002 (Haryana)
PAN: AABCL2134J
CIN: U45201HR2006PTC093538

…..Petitioner No.5/Transferor Company No.5

AND

**6. Livana Builders & Developers Private Limited**
with its registered office at
Mezzanine Floor, DLF Gateway Tower, R Block,
DLF City, Phase-III, Gurugram-122002 (Haryana)
PAN: AABCL1901D
CIN: U45201HR2006PTC093539

…..Petitioner No.6/Transferor Company No.6

AND

**7. DLF Home Developers Limited**
with its registered office at
1st Floor, DLF Gateway Tower, R Block,
DLF City, Phase-III, Gurugram-122002, Haryana
PAN: AACCD0037H
CIN: U74899HR1995PLC082458

…..Petitioner No.7/Transferee Company

**Order delivered on: 01.03.2024**

**Coram: DR. P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)**
**Mr. UMESH KUMAR SHUKLA, HON'BLE MEMBER (TECHNICAL)**

**Present: -**

Through Counsel : Dr. U.K. Chaudhary, Senior Advocate
Mr. Pulkit Goyal with Ms. Manisha Sharma, Ms. Ramneek Kaur Maan, Advocates for the Petitioner Companies.

**Per: DR. P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)**
**UMESH KUMAR SHUKLA, HON'BLE MEMBER (TECHNICAL)**

## ORDER

This is a joint second motion application filed by Petitioner Companies namely; Chamundeshwari Builders Private Limited (Petitioner No.1/Transferor Company No.1), DLF Garden City Indore Private Limited (Petitioner No.2/Transferor Company No.2), DLF IT Offices Chennai Private Limited (Petitioner No.3/Transferor Company No.3), DLF Residential Developers Limited (Petitioner No.4/Transferor Company No.4), Latona Builders & Constructions Private Limited (Petitioner No.5/Transferor Company No.5) and Livana Builders & Developers Private Limited (Petitioner No.6/Transferor Company No.6) with DLF Home Developers Limited (Petitioner No.7/Transferee Company) through their authorized signatories for sanctioning the Scheme of Amalgamation, as embodied in the Scheme of Amalgamation involving merger/ amalgamation of Transferor Company No.1 to 6 with Transferee Company under Section 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. The said Scheme is attached as Annexure- A1 of the joint petition. The Petitioner Companies have also made interim prayer to allow the petitioner companies to issue the notices to the statutory authorities and publication of the notice in the newspaper 10 days before the next date of hearing.

2. The joint first motion application seeking directions for dispensation of holding the meetings of equity shareholders, preference shareholders, compulsory convertible and non-convertible debenture holders, secured creditors and unsecured creditors of the Petitioner Companies was filed, vide Application No.CA(CAA)No.17/Chd/Hry/2023, which was allowed by this Tribunal vide its order dated 29.08.2023 (Annexure A-33 to the 2nd motion joint application). The main objectives, date of incorporation, authorized and paid-up share capital of the petitioner companies, net worth of the resulting company and the rationale of the Scheme had been discussed in detail in the first motion application, subsequent submission made by the applicant companies and order dated 29.08.2023. Vide the above mentioned order, the meetings of equity shareholders, preference shareholders and debenture shareholders were dispensed with and the meetings of secured creditors and unsecured creditors were also dispensed with subject to compliance of certain conditions.

3. Vide above order dated 29.08.2023, the petitioner companies were also directed to file the respective list of creditors as on the date of passing of the order and serve notices (i) upon their current creditors having outstanding debt amounting to not less than five percent of total outstanding debt of the company as per the list of creditors; as well as (ii) to the statutory authorities namely (a) Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) concerned Registrar of Companies; (c) concerned Income Tax Department; (d) Real Estate Regulatory Authority (RERA); and (e) the Official Liquidator pursuant to Section 230(5) of the Companies Act, 2013 read with Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

4. In compliance of the said directions, the petitioner companies no. 1 to 7 have filed two compliance affidavits having diary no. 01075/2 dated 13.09.2023 and 01075/03 dated 20.09.2023.

5. It is noted from the aforesaid compliance affidavits that with regard to Real Estate Regulatory Authority (RERA), the petitioner companies have issued notice only to Haryana Real Estate Regulatory Authority (HRERA), while as per Schedule I of the Scheme, petitioner companies have projects in other States as well viz. Transferor Company No.1 (Chamundeswari Builders Private Limited), Transferor Company No.5 (Latona Builders & Constructions Private Limited) & Transferor Company No.6 (Livana Builders & Developers Private Limited) in Nandigama Village of Ranaga Reddy District in Telangana State; Transferor Company No.2 (DLF Garden City Indore Private Limited) in Indore District in Madhya Pradesh State; and Transferor Company No.3 (DLF IT Offices Chennai Private Limited) in Guindy Taluk Village of Chennai District in Tamil Nadu State. In this regard, no reason/ clarification is available in the second motion petition. It is also noted from compliance affidavits that the statutory dues payable to government authorities have been excluded from the list of creditors.

6. Vide above order dated 29.08.2023, the petitioner companies were also directed to file second motion application within 15 days after the expiry of 30 days as mentioned in section 230(5) of the Companies Act, 2013 and make specific prayer for sending the notices to (a) Central Government through Regional director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) concerned Registrar of Companies; (c) Official Liquidator; (d) Real Estate Regulatory Authority (RERA); and (e) Income Tax Authorities, within whose jurisdiction the respective applicant

companies are assessed by disclosing the PAN of all the applicant companies in the title of the second motion petition.

7. The second motion checklist was duly filed under the signature of Advocate appearing on behalf of the petitioners. The appointed date proposed is 01.04.2022 and the same is mentioned in the scheme at page no. 152 of the petition.

8. The petitioner companies 1 to 7 have submitted affidavits in the present petition that they are only required to serve the notices to the Registrar of Companies, NCT of Delhi & Haryana, Regional Director (Northern Region), Official Liquidator and Income Tax authorities, as they are not governed by any other sectoral regulators/ authorities, which are likely to be affected by the present scheme. The affidavits regarding sectoral regulators are annexed as Annexure A-34 of second motion petition.

9. The petitioner companies along with their application submitted affidavits that they are not required to obtain the approval from the Competition Commission of India (CCI) as Transferee Company holds 100% shareholdings of the Transferor Company No. 1 to 6 and hence falls within the exemption provided under clause (9) of Schedule I of the CCI (Procedure in regard to the transaction of business relating to combination) Regulations, 2011. The said affidavits are attached as Annexure A-35 of second motion petition.

10. It is noted from the audited financial statements for the year 2022-23 of Transferee Company i.e. DLF Home Developers Limited that the CCI, on a complaint filed by the Belaire/ Magnolias/ Park Place Owners Association in respect of Company's project namely Park Place relating to imposing unfair trade conditions on buyers, had imposed penalty of Rs.63000 lakhs on the holding Company, DLF

Limited and also ordered to suitably modify the alleged unfair conditions on its buyers. Further, the CCI had directed the company relating to New Town Height Project to cease and desist in implementation of the terms and conditions of the Apartment Buyer Agreement, which was found to be unfair and abusive. The Company had filed appeals before the Competition Appellate Tribunal (COMPAT), which were dismissed by COMPAT, against which the company has filed an appeal before Hon'ble Supreme Court of India (SCI), which admitted the appeal and directed to deposit Rs.63000 lakhs with the SCI.

11. Although in Regulation 4 of CCI (Procedure in regard to the transaction of business relating to combination) Regulations, 2011, it is clarified that since the categories of combinations mentioned in Schedule I are ***ordinarily*** not likely to cause an appreciable adverse effect on competition in India, notice under sub-section (2) of section 6 of the Act need not ***normally*** be filed, However, in view of past conduct of the Transferee Company, there appears to be rational to issue notice to the CCI.

12. Having regard to the above, before finally examining the matter for approval of the proposed amalgamation, this tribunal directs the following:

I. The next date of hearing of the petition shall be on 03.05.2024.

II. The notice of hearing shall be published, not less than 10 days before the next date of hearing in two newspapers, having wide circulation in Haryana, where the registered Office of the applicant companies are situated namely, "Financial Express" (Haryana edition and Delhi NCR Edition) in English language and "Dainik Bhaskar" (Haryana edition and Delhi NCR Edition) in Hindi language by the Petitioner Companies. This

notice is to enable the interested parties/persons to raise their objections, if any, on the proposed scheme of amalgamation between the petitioner companies. All the Petitioner Companies shall also publish the notice on its website, if any.

III. In addition to the public notice, petitioners shall serve the notice of petition at least 30 days before the date fixed for hearing of the above petition on the following authorities:

a. Regional director, Northern Region, Ministry of Corporate Affairs, GOI, B-2 wing, Second floor, Pt. Deen Dayal Antyodaya Bhawan, CGO Complex, New Delhi.

b. The Official Liquidator, Punjab and Haryana, Corporate Bhawan, Plot No- 4 B, 2nd floor, Sector 27B, Madhya Marg, Chandigarh- 160019.

c. The Registrar of Companies, NCT of Delhi and Haryana, 4th floor, IFCI Tower, 61, Nehru Place, NewDelhi-110019;

d. The Income Tax Department, through Nodal Officer- Principal Commissioner of Income Tax, NWR, Aayakar Bhawan, Sector- 17E, Chandigarh, within whose jurisdiction the respective applicant companies are assessed by disclosing the PAN of all the applicant companies in the title of the second motion petition.

e. The Haryana Real Estate Regulatory Authority, New PWD Rest House, Civil Lines, Gurugram, Haryana.

f. Other Real Estate Regulatory Authorities, where the projects of the petitioner companies are located.

g. Competition Commission of India, 9th Floor, Office Block-1, Kidwai Nagar (East), New Delhi-110023.

h. And to such other Sectoral Regulatory Authorities, if any applicable, who are likely to be affected by the scheme.

It should be clearly mentioned in the notice that if statutory authorities, to whom the notice is served, does not file their reply/ representation within a period of 30 days from the date of receipt of such notice, it shall be presumed that they have no representations to make on the proposals.

IV. The said authorities are directed to send their representations if any, within thirty days from the date of receipt of such notice as per the provisions of Sub-Section 5 of Section 230 of the Companies Act, 2013.

V. Further, notices shall also be served to the objector(s) or to their representatives, if any, to whom notices were issued in compliance of para 25(VI)(b) of first motion order dated 29.08.2023 in CA(CAA) No.17/Chd/Hry/2023, who may have made representation and who have desired to be heard in their representation along with a copy of the petition and the annexure filed therewith at least 15 days before the date fixed for hearing.

VI. Further, notices shall also be served to the all the government authorities to whom any statutory dues are payable as per the books of accounts of the petitioner companies.

VII. The petitioner companies shall at least 7 days before the date of hearing of the petition, file an affidavit of service regarding newspaper publication

with newspaper clippings as well as service of notices on the authorities specified above.

VIII. Objections, if any, to the 'Scheme' contemplated by the authorities/ persons, to whom notices have been given, may be filed on or before the date of hearing fixed herein, failing which it will be considered that there is no objection to the approval of the 'Scheme' on the part of the authorities and this Tribunal will proceed in the matter, subject to other conditions being satisfied, as may be applicable under the Companies Act, 2013 and relevant rules framed thereunder.

IX. The petitioner companies shall individually comply with the proviso of section 232(3) or proviso to section 230(7) of the Companies Act, 2013, as may be applicable under the circumstances on or before the date fixed for hearing by filing the required certificate of the Company's auditor.

X. The petitioner companies shall also file an affidavit denoting the objections received from public/ other persons pursuant to the publication of the public notice of hearing in the newspapers.

13. Let a copy of the order be served to the parties free of cost.

*-Sd-*
**(Umesh Kumar Shukla)**
**Member (Technical)**

*-Sd-*
**(PSN Prasad)**
**Member (Judicial)**

March 01, 2024
Vishesh